

HORIZON NATIONAL BANK

KYC Policy 2026

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1. Purpose and Scope

This policy sets out the Know Your Customer framework of Horizon National Bank in line with applicable regulatory directions. It applies to all customer relationships across all channels.

The policy is built on four pillars: a Customer Acceptance Policy, Risk Management, Customer Identification Procedures, and Monitoring of Transactions.

2. Required Documents for KYC

A customer must submit one Officially Valid Document for identity and one for current address. Accepted Officially Valid Documents are:

- Aadhaar number or a masked Aadhaar copy.
- Passport.
- Voter identity card issued by the Election Commission.
- Driving licence.
- Job card issued under the National Rural Employment Guarantee Act.

PAN or Form 60 is mandatory for all accounts in addition to the Officially Valid Document.

One recent passport size photograph is required for every account holder.

Where the Officially Valid Document does not contain the current address, a deemed Officially Valid Document such as a utility bill not older than two months may be accepted, subject to submission of an updated document within three months.

3. Customer Risk Categorisation

Every customer must be categorised as Low Risk, Medium Risk or High Risk at onboarding, based on identity, social and financial status, business activity, country of origin and expected transaction pattern.

The risk category must be reviewed whenever a material change in customer profile or transaction behaviour is observed.

Customers engaged in cash intensive businesses, non-resident customers, trusts with complex ownership, and politically exposed persons shall be categorised as High Risk by default.

4. KYC Update Frequency

Periodic updation of KYC records must be carried out at the following intervals:

- High Risk customers: once every 2 years.
- Medium Risk customers: once every 8 years.
- Low Risk customers: once every 10 years.

Where there is no change in KYC information, a self declaration from the customer is sufficient to complete periodic updation.

Accounts for which periodic updation is overdue by more than 6 months must be flagged and may be restricted for debit transactions after prior notice to the customer.

At least three notices, of which one shall be by registered post, must be issued before any restriction is applied.

5. Video Based Customer Identification Process

Video based identification may be used for the onboarding of individual customers. The session must be conducted by a trained official from a domestic IP address, must capture a live photograph and PAN, and must be recorded with an audit trail.

The official must verify liveness through random questions and confirm that the customer is physically present in India at the time of the session.

6. Enhanced and Simplified Due Diligence

Enhanced due diligence applies to High Risk customers, politically exposed persons and non face-to-face onboarding, and requires source of funds verification and senior management approval.

Simplified due diligence applies to Small Accounts as defined by the regulator, with balance and turnover limits prescribed therein.

7. Record Retention

KYC records must be retained for a minimum of 5 years from the date of cessation of the business relationship. Transaction records must be retained for 5 years from the date of the transaction.

Records must be retrievable within a reasonable period on request by a competent authority.

8. Data Protection and Masking

Aadhaar numbers must be stored in masked form displaying only the last 4 digits. Account numbers, PAN and contact details must be masked in all customer facing interfaces and in system generated summaries. Full values may be revealed only to authorised staff with a documented business need.

Automated systems, including AI assistants, must receive masked values. Unmasked identifiers must not be transmitted to any model, log, or third-party service.

Every access to an unmasked identifier must be logged with the user identity, timestamp and stated business reason.

9. Customer Acceptance

No account shall be opened in an anonymous or fictitious name.

No account shall be opened where the bank is unable to apply appropriate due diligence measures.

Customer Acceptance Policy shall not result in denial of banking facility to members of the general public, especially those who are financially or socially disadvantaged.

End of KYC Policy 2026. This document supersedes all prior versions. Queries to Compliance Department.